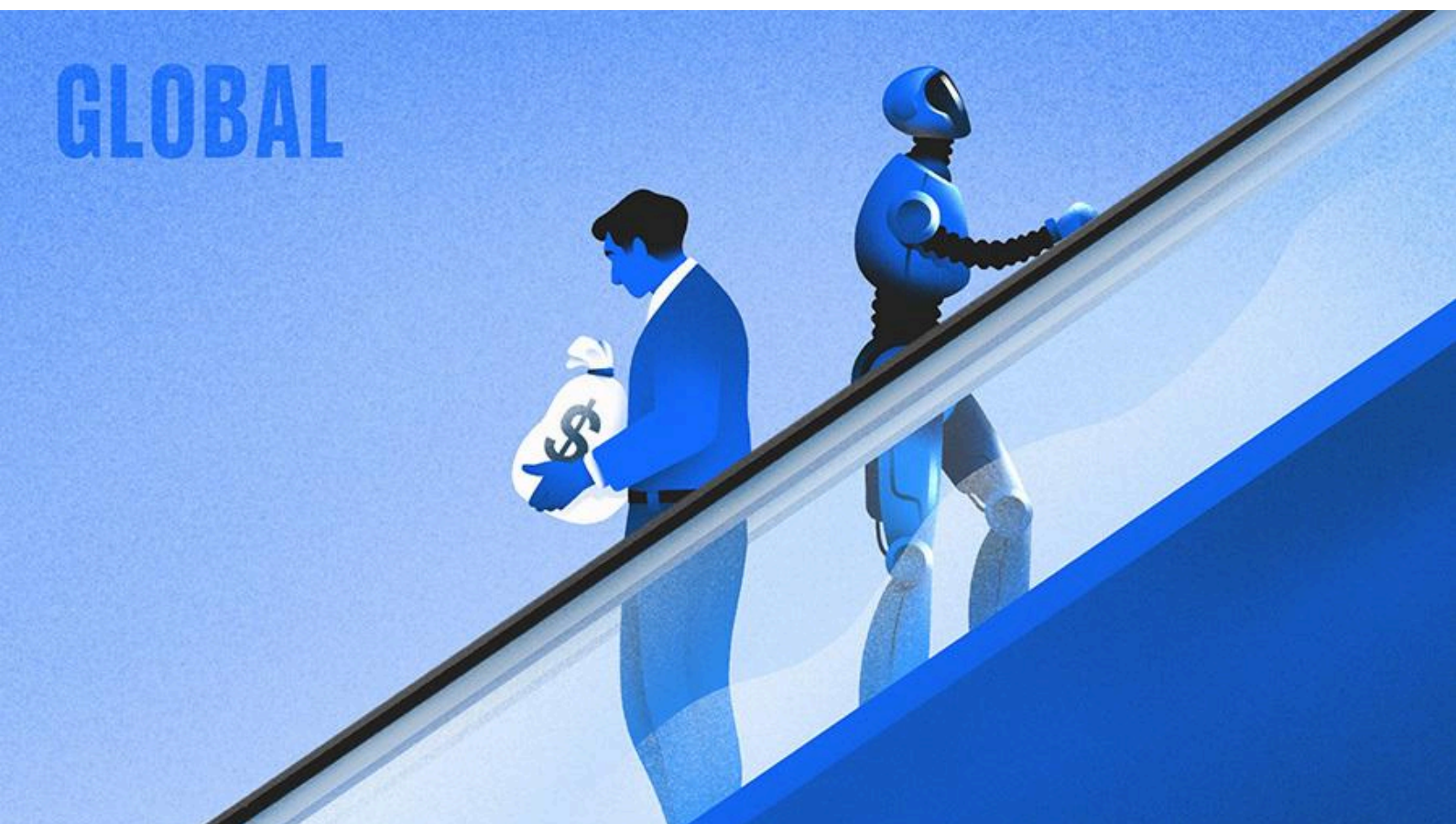


Global Startup Funding In 2023 Clocks In At Lowest Level In 5 Years

Gené Teare January 4, 2024

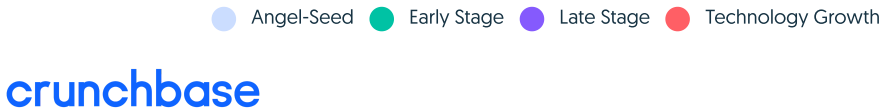


Gené Teare
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A slower final quarter ended a lackluster year for global startup funding as venture capital investors continued to hold back in 2023, [Crunchbase](#) data shows.

In all, 2023 is on pace to be the lowest for venture funding since 2018. Global startup investment in 2023 reached \$285 billion — marking a 38% decline year over year, down from the \$462 billion invested in 2022.

Global Venture Dollar Volume By Annum



Cutbacks were deep across all funding stages globally. Early-stage funding in 2023 was down more than 40% year over year, late stage by 37%, and seed just over 30%.

It’s worth keeping some perspective, though: Overall funding in 2023 was down by less than 20% when compared to the pre-pandemic years of 2018 to 2020.

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As US goes, so does the globe

Two years into the slowdown, the venture markets are still reckoning with [the funding boom of 2021](#). The fall in tech stocks and a slowdown of the IPO market since the beginning of 2022 has tempered the industry. Valuations set in 2021 did not hold up in 2023, as promising companies raised flat and down rounds.

Startups last year navigated a tough funding environment, tightened their belts and focused on unit economics. [Layoffs across tech deepened in 2023](#).

Investors deployed capital more sparingly, with a higher bar at each stage.

“You can get higher ownership as a fund than you could in 2021,” said [Michael Cardamone](#) of New York-based seed investor [Forum Ventures](#). The current funding environment favors funds and is more difficult for startup founders, he said.

The U.S. — the largest startup investment market with about half of all venture funding — mirrored global trends. Funding to U.S.-based startups in 2023 totaled \$138 billion, down by 37% year over year.

AI leads

While most industries were down year over year, AI was the largest sector to show an increase. Global funding to AI startups reached close to \$50 billion last year, up 9% from the \$45.8 billion invested in 2022. The largest fundings in 2023 went to foundation model companies [OpenAI](#), [Anthropic](#) and [Inflection AI](#), which collectively raised \$18 billion in 2023.

Semiconductors and battery tech also all saw increased investment in 2023.

Two industries, however, stood out as performing better than broader market declines. Manufacturing and cleantech startups were down in 2023 year over year, but by less than 20%.

Web3 and consumer tumble

Web3, which experienced a runup in 2021 and into 2022, fell 73% year over year in 2023, from \$28 billion to \$7.6 billion.

Other leading sectors that were down year over year include financial services (down over 50%), e-commerce and shopping (down 60%), and media and entertainment (down 64%).

Q4 tapers off

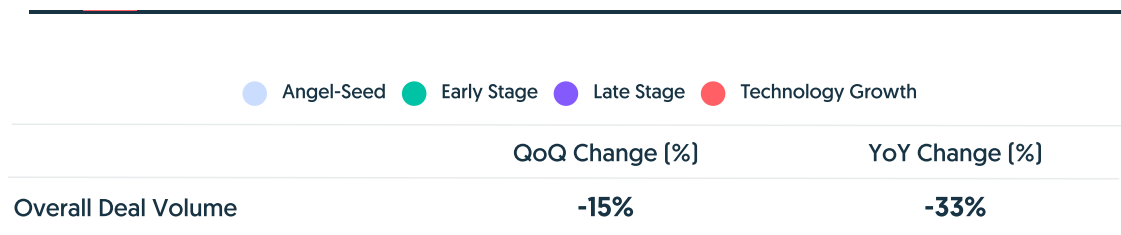
Q4 marks the lowest quarter for global venture funding in 2023. Quarterly funding totaled \$58 billion, down 24% quarter over quarter and 25% year over year.

Global Venture Dollar Volume Through Q4 2023

	QoQ Change [%]	YoY Change [%]
Overall Dollar Volume	-24%	-25%

crunchbase

Global Venture Deal Volume Through Q4 2023



crunchbase

Seed funding

Seed funding totaled \$7 billion in Q4, down just over 20% year over year from \$9 billion.

Despite the cutbacks at seed, it is seen to be the most robust funding stage with new companies funded. And as it became more challenging to raise a Series A round, companies were more likely to raise follow-on seed funding.

Global Seed And Angel Investment Through Q4 2023

crunchbase

Early

Early-stage funding declined the most in 2023 compared to other funding stages.

In the fourth quarter, early-stage funding totaled close to \$23 billion, down a tad quarter over quarter, and down 32% year over year from \$33 billion.

Global Early-Stage Investment Through Q4 2023



crunchbase

Late

Late-stage funding in the fourth quarter was 25% of the volume of the peak in Q4 2021.

Fourth-quarter funding reached \$28.6 billion, down close to 20% year over year.

Funding at this stage fluctuated throughout 2023 as large fundings went to AI, semiconductor, battery and clean energy companies.

Global Late-Stage And Technology Growth Investment Through Q4 2023

crunchbase

With the increased number of companies funded in recent years, and the tightening funding markets, we expect the layoffs of 2023 will give way to more companies closing in 2024.

The venture markets got more disciplined in 2023. Without a bump in exits, 2024 will continue to be tough for founders in a funders market.

Methodology

The data contained in this report comes directly from Crunchbase, and is based on reported data. Data reported is as of Jan. 3, 2024.

Note that data lags are most pronounced at the earliest stages of venture activity, with seed funding amounts increasing significantly after the end of a quarter/year.

Please note that all funding values are given in U.S. dollars unless otherwise noted. Crunchbase converts foreign currencies to U.S. dollars at the prevailing spot rate from the date funding rounds, acquisitions, IPOs and other financial events are reported. Even if those events were added to Crunchbase long after the event was announced, foreign currency transactions are converted at the historic spot price.

Glossary of funding terms

We have made a change to how we include corporate funding rounds in our reporting as of January 2023. Corporate rounds are only included if a company has raised an equity funding at seed through a venture series funding round.

Seed and angel consists of seed, pre-seed and angel rounds. Crunchbase also includes venture rounds of unknown series, equity crowdfunding and convertible notes at \$3 million (USD or as-converted USD equivalent) or less.

Early-stage consists of Series A and Series B rounds, as well as other round types. Crunchbase includes venture rounds of unknown series, corporate venture and other rounds above \$3 million, and those less than or equal to \$15 million.

Late-stage consists of Series C, Series D, Series E and later-lettered venture rounds following the “Series [Letter]” naming convention. Also included are venture rounds of unknown series, corporate venture and other rounds above \$15 million.

Technology growth is a private-equity round raised by a company that has previously raised a “venture” round. (So basically, any round from the previously defined stages.)

Correction: An earlier version of this report incorrectly stated that insurtech saw increased investment in 2023. It has been updated.